GVA at factor cost

The value of gross value addition made excluding the production taxes less production subsidies is called GVA at factor cost.

GVA at Factor Cost = Output – (Intermediate consumption) – (Production Taxes – Production subsidies)

GVA at Factor Cost = GVA at basic prices – (Production Taxes – Production subsidies)

GVA at Factor Cost = CE+OS or MI +CFC

Here the value addition is comprised only of reward to factors of production which is called factor cost.

From the above discussion it is clear that Gross Value Added is strictly a production measure defined only in terms of output and intermediate consumption.

With the clear understanding of the concepts of GVA at factor cost and GVA at basic prices we can move to the concepts of GDP and other measures of national income.

Production Method

1. Gross Domestic Product (GDP)

Gross domestic product (GDP) at market prices is equal to the sum of the gross value added of all **resident units** plus those taxes, less subsidies, on products. It denotes Gross Value Added plus tax on product less subsidies on products. GDP at market prices is called shortly GDP.

GDP = GVA at basic prices + (Product Taxes including import duties – Product Subsidies)

GDP = GVA at basic prices + Net Indirect Taxes